

Microsoft Entra ID

Cross-Tenant Access Settings & B2B Collaboration Lab

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Role: IAM Engineer (Trainee)

Environment: Microsoft Entra ID Admin Center (Two-Tenant Lab)

1. Objective

The purpose of this lab is to configure and validate a Cross-Tenant Access relationship between two independent Microsoft Entra ID tenants, and to prepare the environment for Cross-Tenant Synchronization. This exercise demonstrates the ability to plan, configure, and verify B2B collaboration, B2B direct connect, trust settings, and identity synchronization boundaries between organizations — a common requirement in enterprise IAM engagements involving mergers, multi-tenant architectures, or partner collaboration scenarios.

Specifically, this lab covers:

- Establishing a mutual cross-tenant trust relationship by registering each tenant as an external organization in the other.
- Configuring Inbound access settings (B2B collaboration, B2B direct connect, Trust settings, Cross-tenant sync) on both tenants.
- Configuring Outbound access settings on both tenants.
- Enabling automatic redemption of invitations to remove consent-prompt friction between the two trusted tenants.
- Verifying the resulting configuration status from the External Identities overview blade.
- Reviewing the Cross-Tenant Synchronization configuration blade as the next step in the identity lifecycle.

2. Lab Environment

Two Microsoft Entra ID tenants were used to simulate an inter-organizational trust relationship:

Tenant A – "Not any"

Primary domain	labofentra.onmicrosoft.com
Tenant ID	8cfcd855-1631-4e46-84e5-44c39bf7276d
License	Microsoft Entra ID P2
Users / Groups	5 users / 0 groups (at start)
Role in lab	Configured as the source/target for "Cross Tenant 2" (representing rocknroll)

Tenant B – "rocknroll"

Primary domain	workwithdaniyal786gmail.onmicrosoft.com
Tenant ID	3c07e8d7-184e-40f0-a194-b6de9d27cd98
License	Microsoft Entra ID Free

Users / Groups / Apps	5 users / 9 groups / 2 applications
Role in lab	Configured as the source/target for "Cross Tenant 1" (representing Not any)

Note: The rocknroll tenant already listed two pre-existing external organizations (Black Rock, EntraLab) from prior labs; only the entry relevant to this exercise (Cross Tenant 1 / Cross Tenant 2) is discussed below.

3. Procedure

3.1 Baseline Review – Tenant Overview

Before making any changes, the Overview blade of each tenant was reviewed under Entra ID > Overview to confirm the Tenant ID, primary domain, license (P2 vs. Free), and current object counts. The Tenant ID is the key identifier required to establish a cross-tenant trust relationship in the next step.

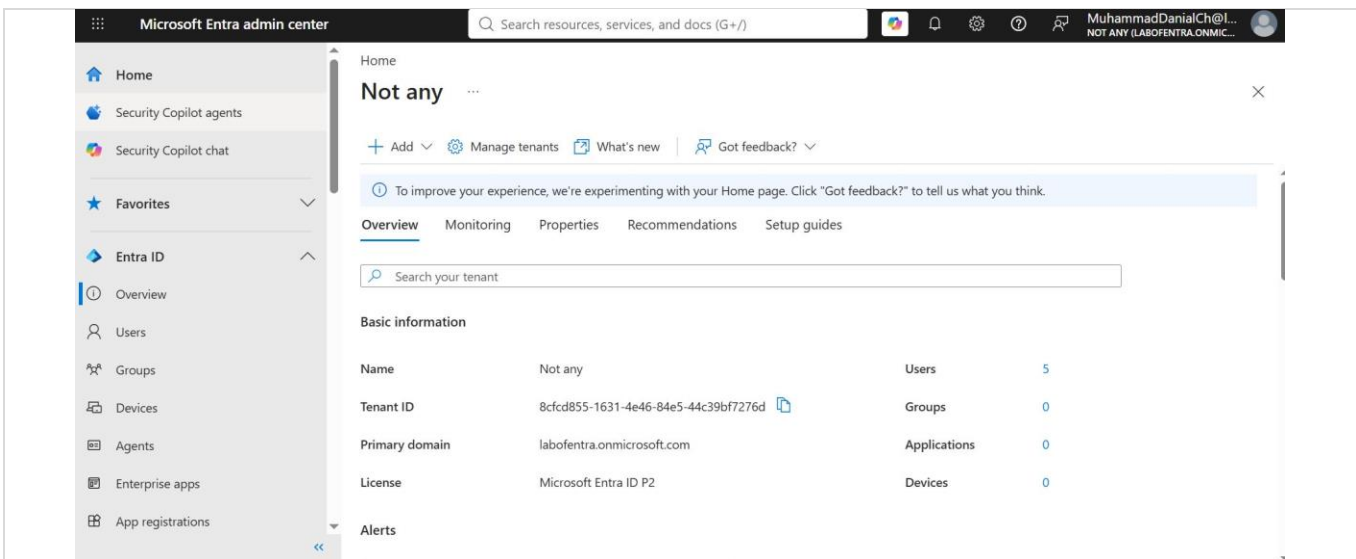


Figure 1 – Overview of Tenant "Not any" (labofentra.onmicrosoft.com), Entra ID P2, Tenant ID ending 7276d.

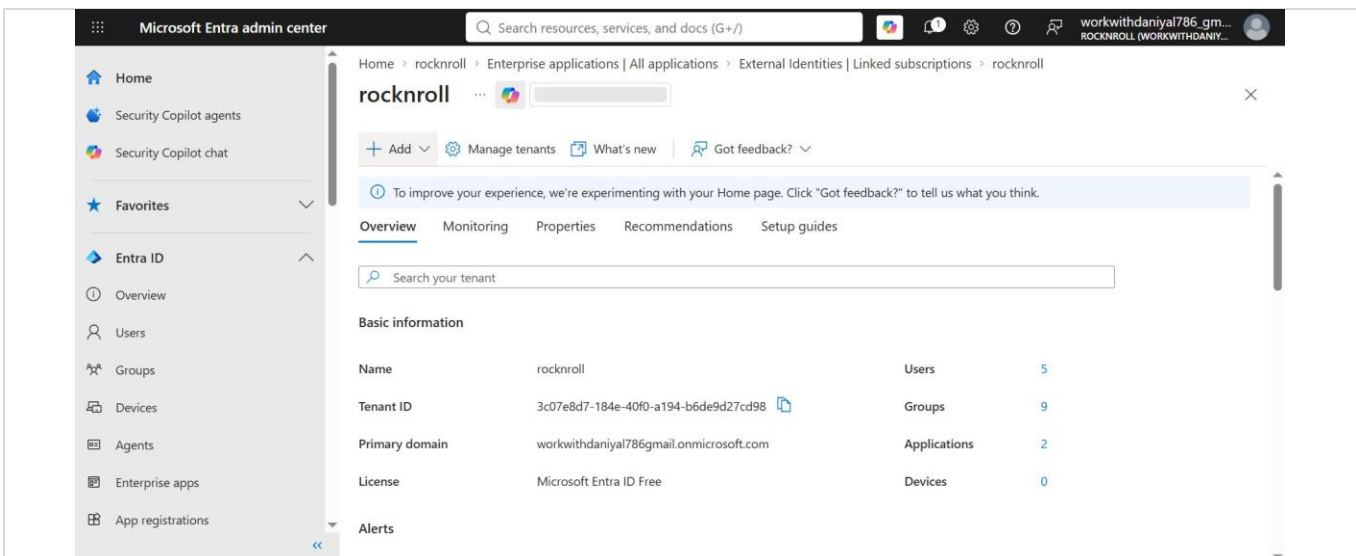


Figure 2 – Overview of Tenant "rocknroll" (workwithdaniyal786gmail.onmicrosoft.com), Entra ID Free, Tenant ID ending d27cd98.

3.2 Establishing the Cross-Tenant Relationship

From Tenant "Not any", navigated to Entra ID > External Identities > Cross-tenant access settings > Organizational settings, and selected Add organization. The rocknroll Tenant ID was entered directly, which Entra ID automatically resolved to the organization name and added it to the tenant list as "Cross Tenant 2".

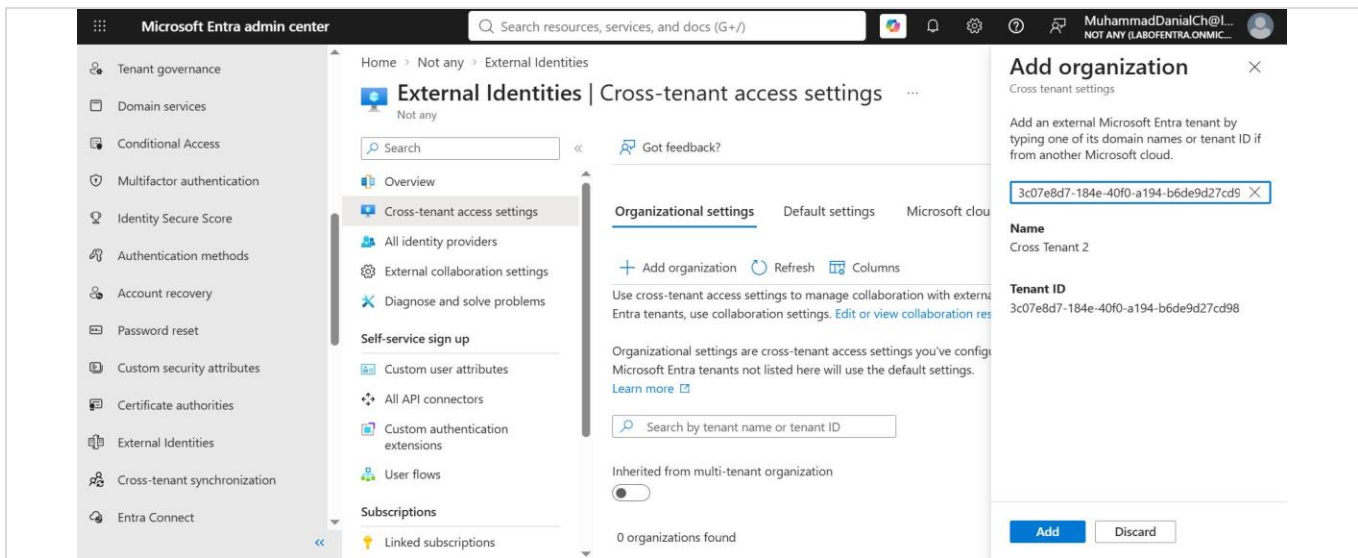


Figure 3 – Adding rocknroll as an external organization using its Tenant ID (resolved as "Cross Tenant 2").

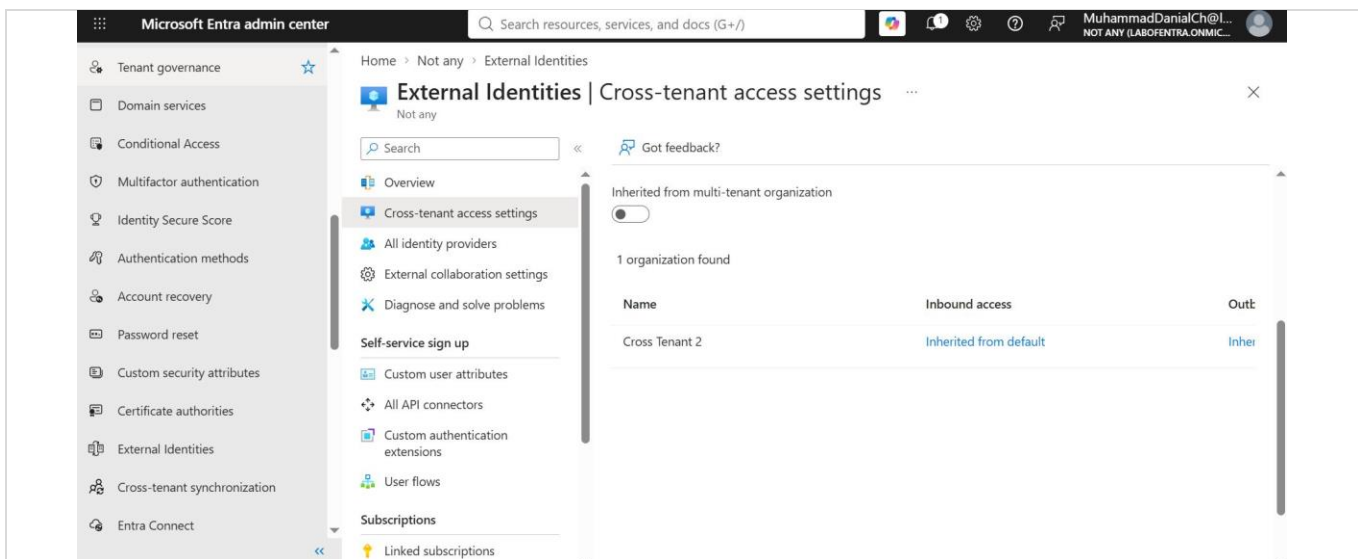


Figure 4 – "Cross Tenant 2" successfully added; access settings inherited from the tenant default until customized.

3.3 Configuring Inbound Access Settings – Tenant "Not any" → Cross Tenant 2

The Inbound access settings for Cross Tenant 2 were customized across all four capability areas so that identities from rocknroll are explicitly trusted by "Not any":

1. B2B collaboration (Applications tab): Access status set to Allow access, applied to All applications.
2. B2B direct connect (Applications tab): Access status set to Allow access, applied to All applications.
3. Trust settings: Automatic redemption of invitations enabled for the Cross Tenant 2 tenant, removing the first-time consent prompt.
4. Cross-tenant sync: Both Allow user synchronization and Allow group synchronization into this tenant enabled, permitting the source tenant's admin to provision objects here.

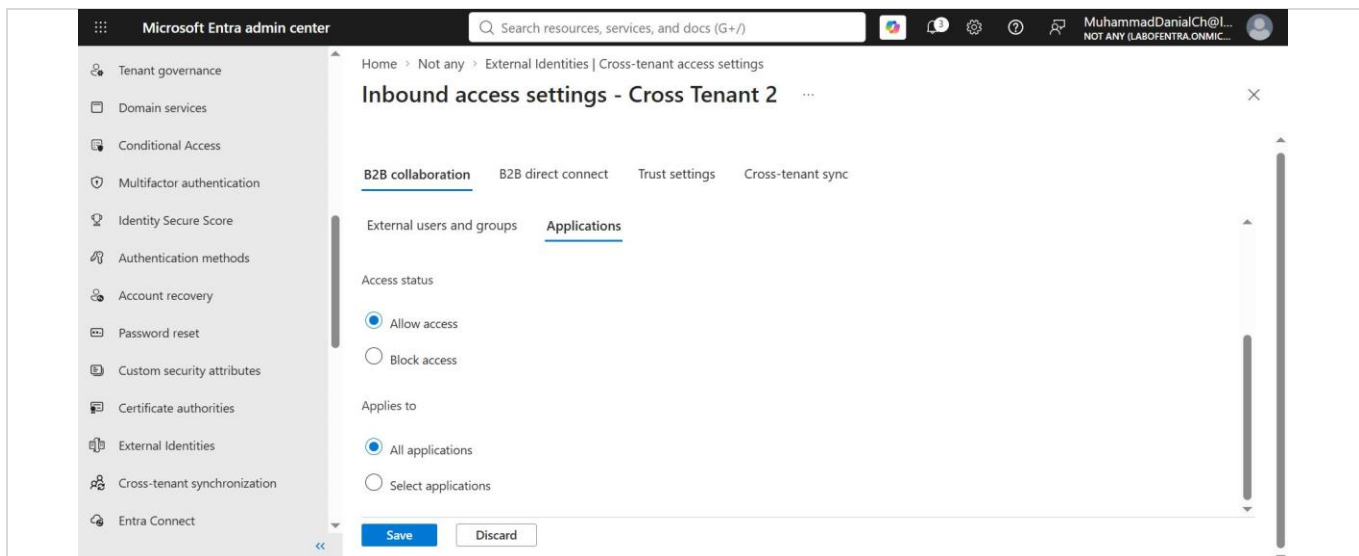


Figure 5 – Inbound B2B collaboration: Allow access, applied to all applications.

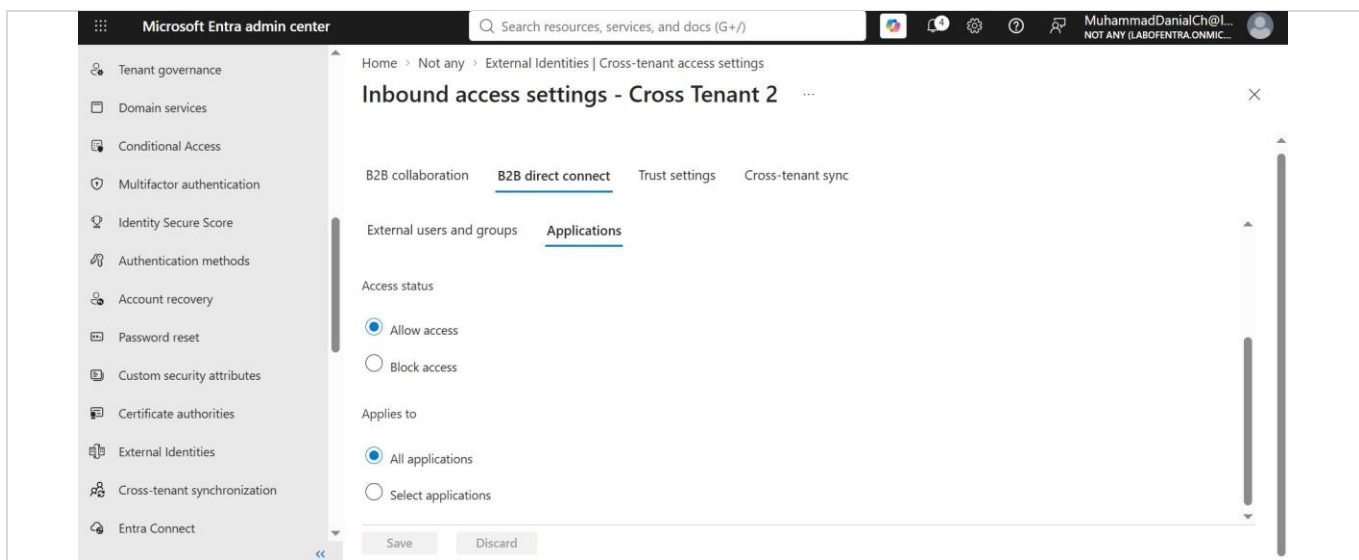


Figure 6 – Inbound B2B direct connect: Allow access, applied to all applications.

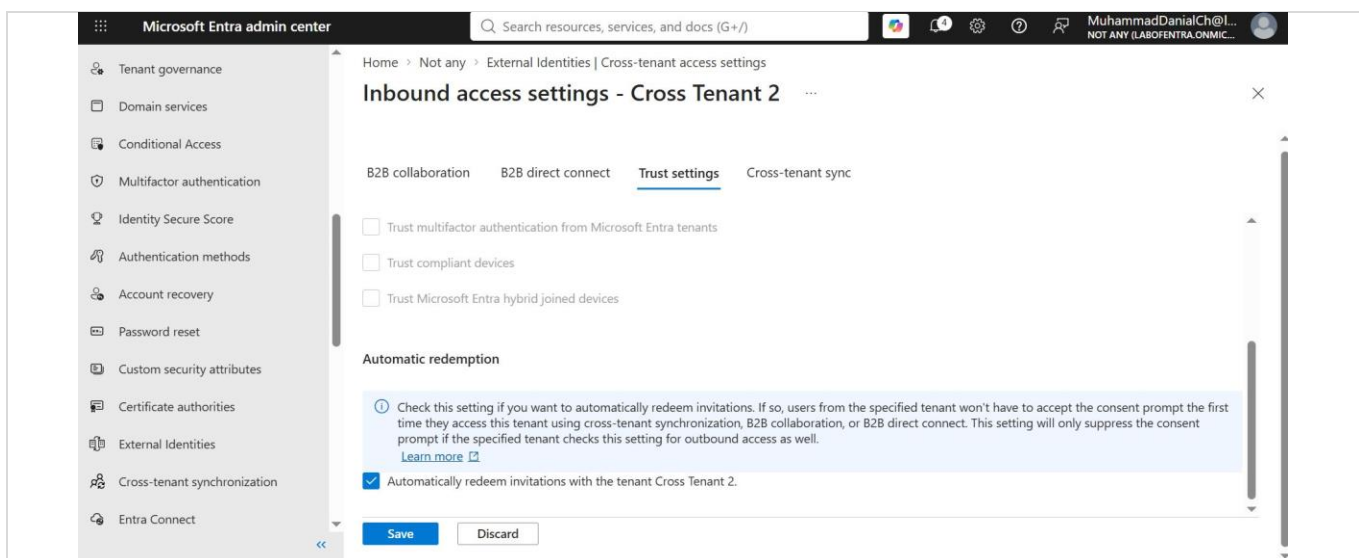


Figure 7 – Inbound Trust settings: Automatic redemption of invitations enabled.

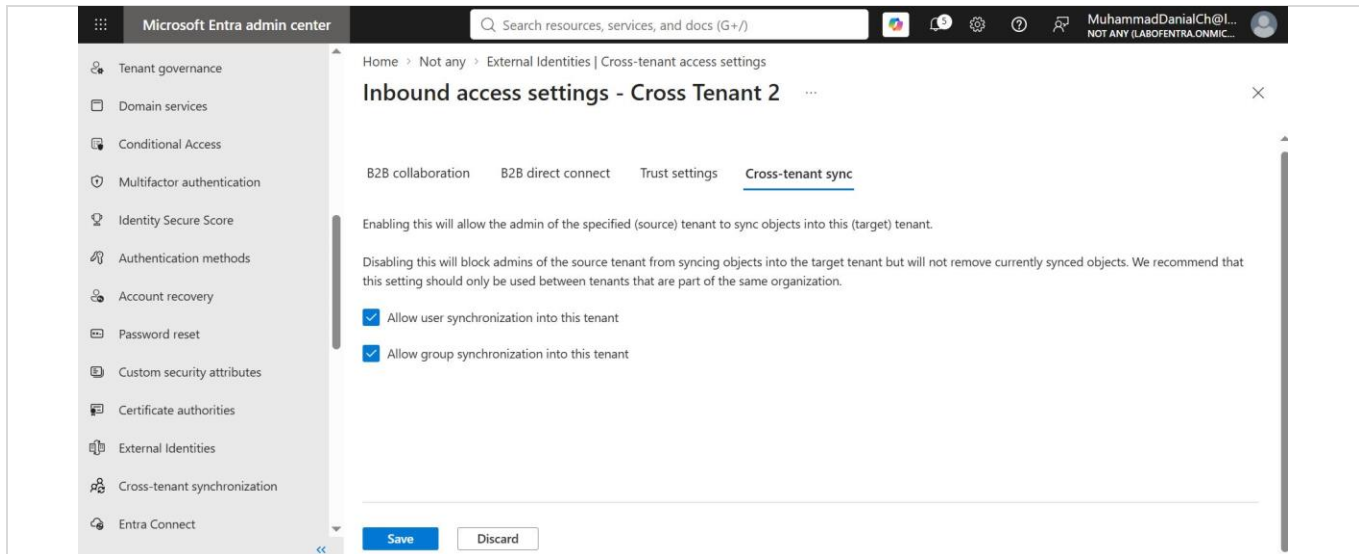


Figure 8 – Inbound Cross-tenant sync: user and group synchronization into this tenant enabled.

3.4 Interim Verification

Returning to the External Identities > Cross-tenant access settings overview confirmed the Inbound access column for Cross Tenant 2 changed from "Inherited from default" to Configured, while Outbound access remained Inherited from default pending the next step.

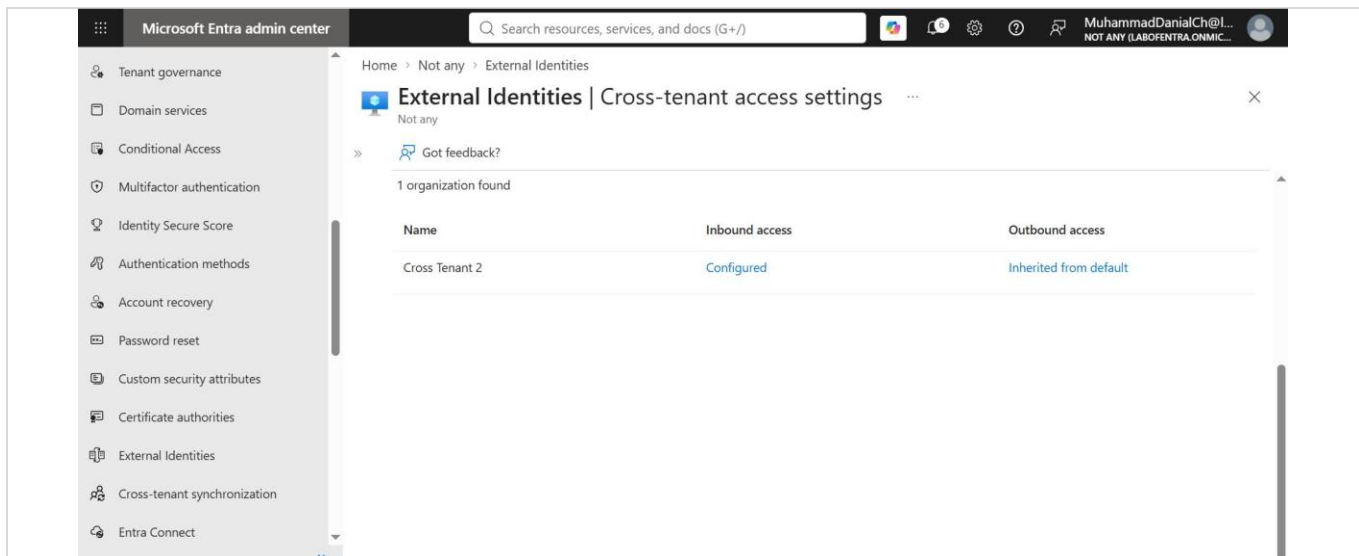


Figure 9 – Cross Tenant 2 now shows Inbound access = Configured; Outbound access still inherited.

3.5 Configuring Outbound Access Settings – Tenant "Not any" → Cross Tenant 2

The Outbound access settings were then customized so that users and applications in "Not any" are permitted to access resources in rockroll:

- B2B collaboration (Users and groups): reviewed under default/inherited scope for the tenant's own users.
- B2B direct connect (External applications): Access status set to Allow access, applied to All external applications.
- Trust settings: Automatic redemption of invitations enabled for outbound traffic to Cross Tenant 2.

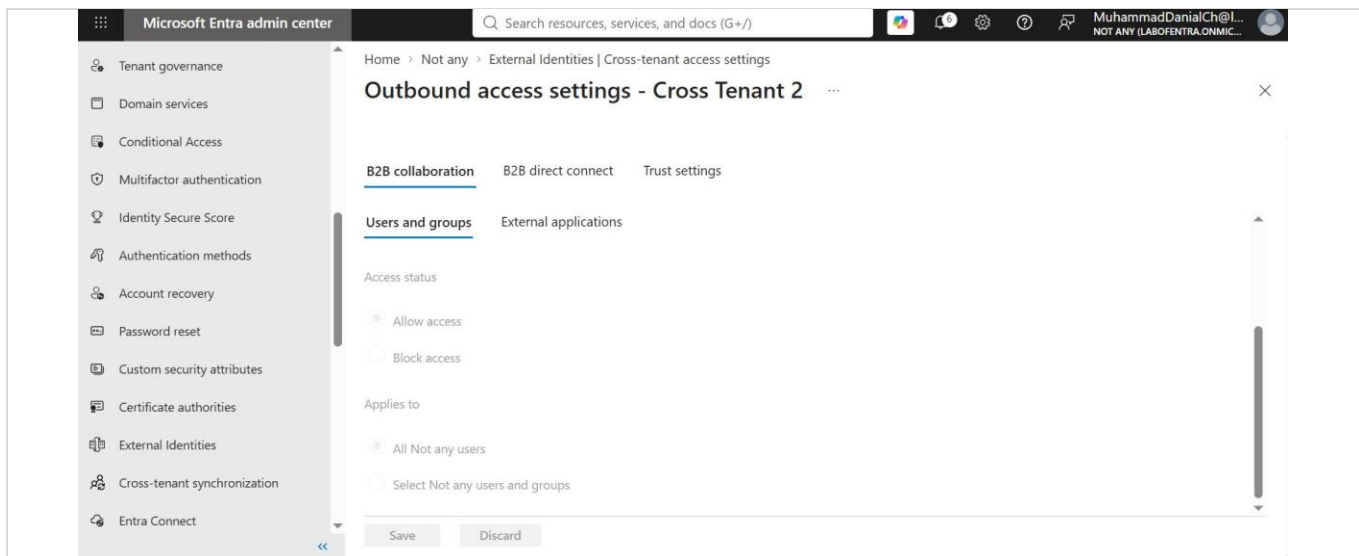


Figure 10 – Outbound B2B collaboration, Users and groups tab (tenant-default scope shown).

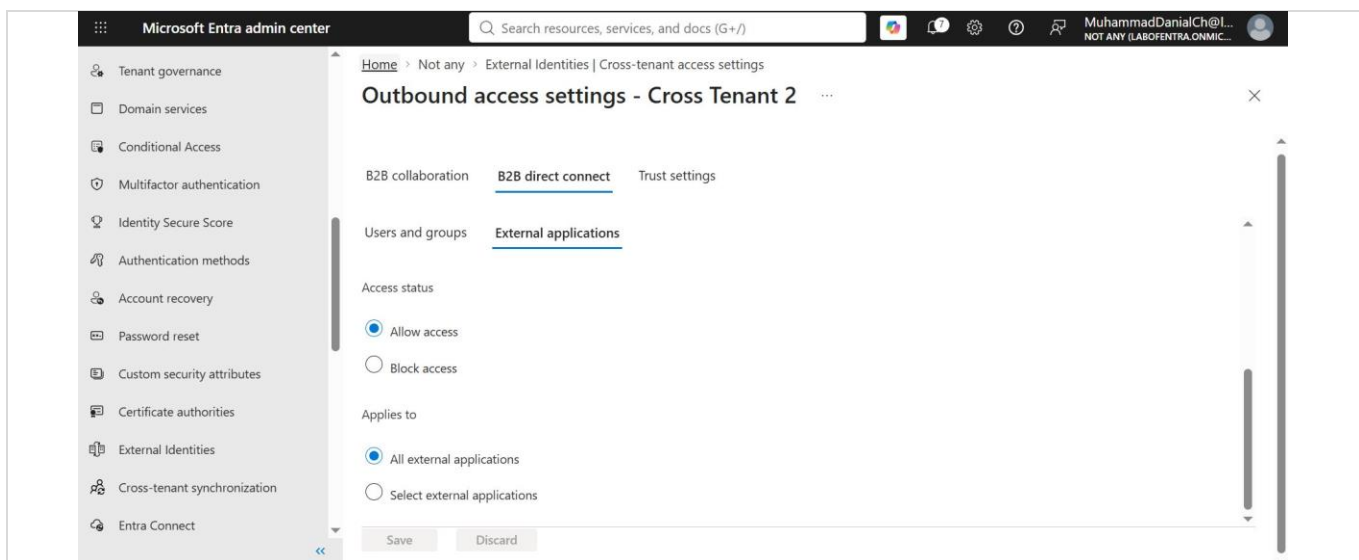


Figure 11 – Outbound B2B direct connect, External applications: Allow access, all external applications.

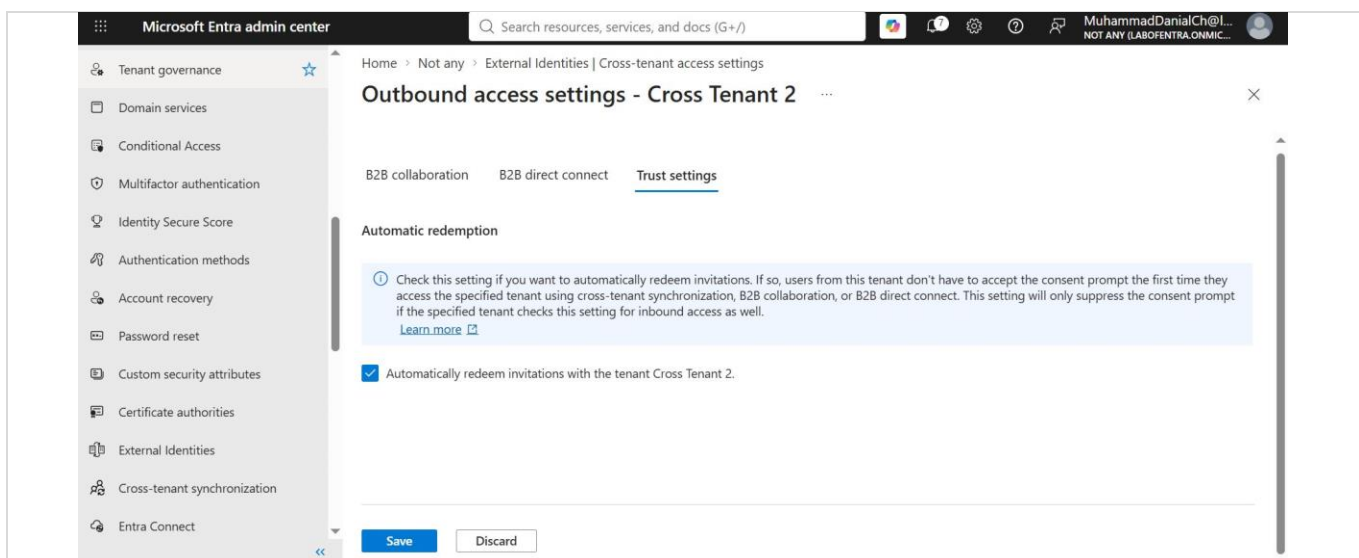


Figure 12 – Outbound Trust settings: Automatic redemption of invitations enabled.

3.6 Mirroring the Configuration on Tenant "rocknroll" → Cross Tenant 1

To make the trust bidirectional and fully functional, the same configuration was replicated from the rocknroll tenant, where "Not any" is registered as "Cross Tenant 1" alongside two other pre-existing organizations (Black Rock, EntraLab).

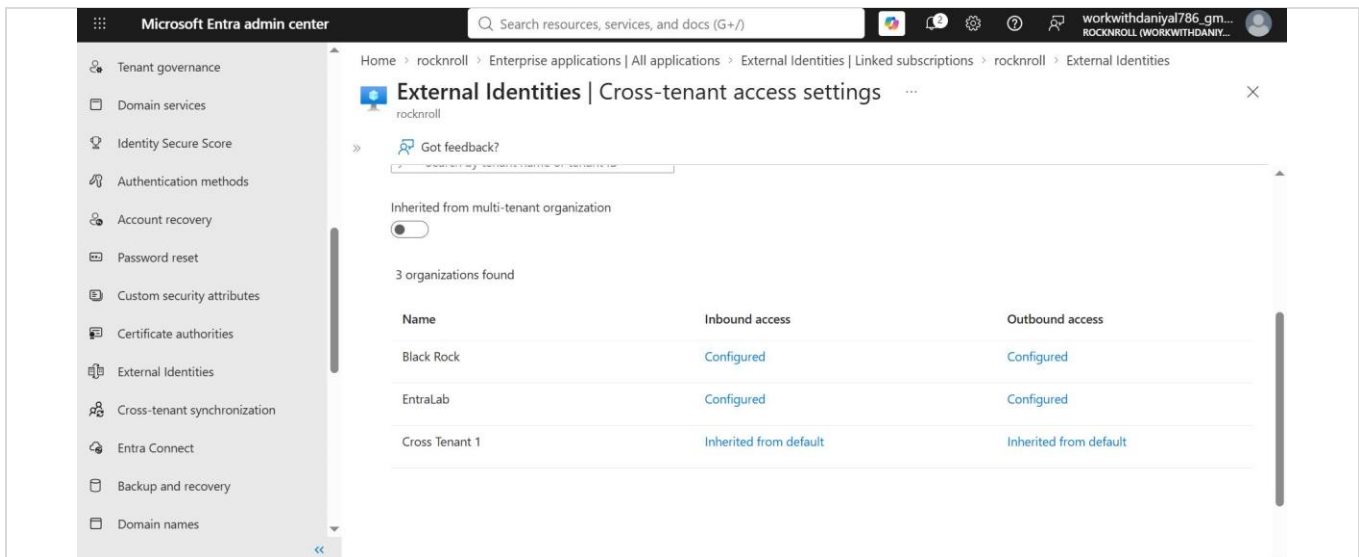


Figure 13 – rocknroll's External Identities overview listing three organizations, including Cross Tenant 1.

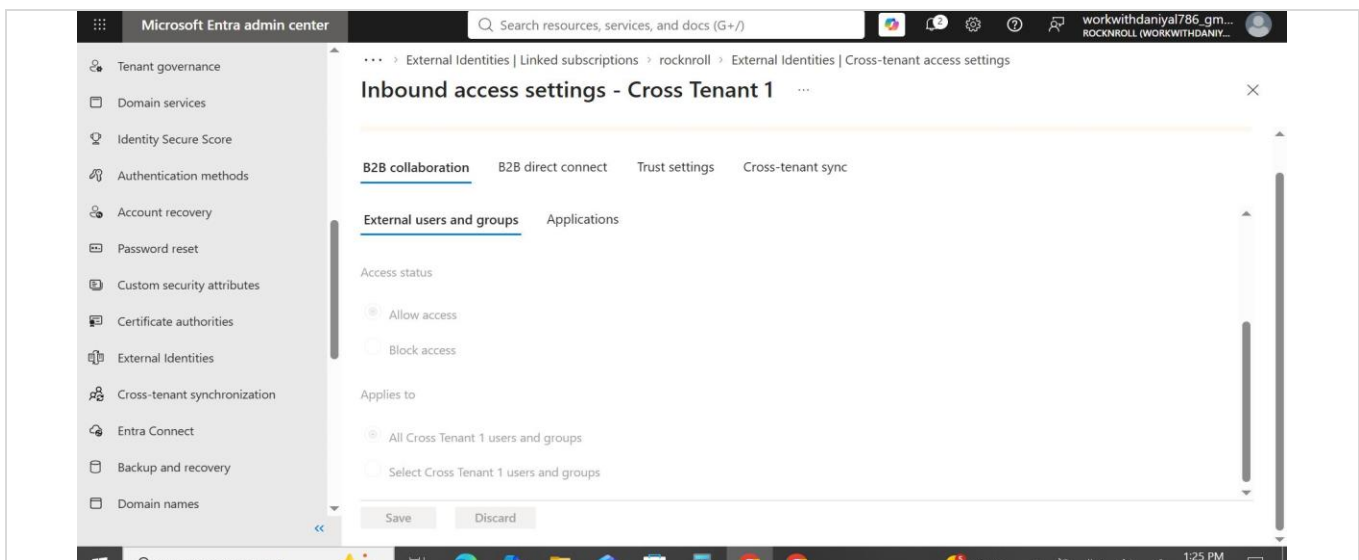


Figure 14 – Inbound B2B collaboration for Cross Tenant 1 (external users and groups, default scope).

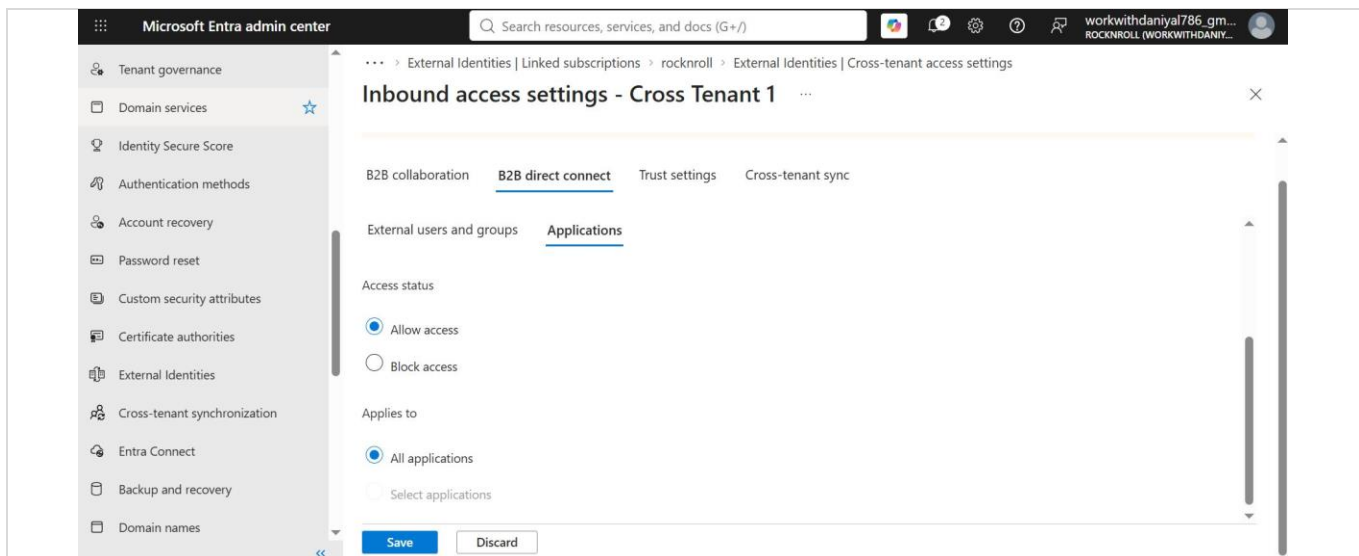


Figure 15 – Inbound B2B direct connect for Cross Tenant 1: Allow access, all applications.

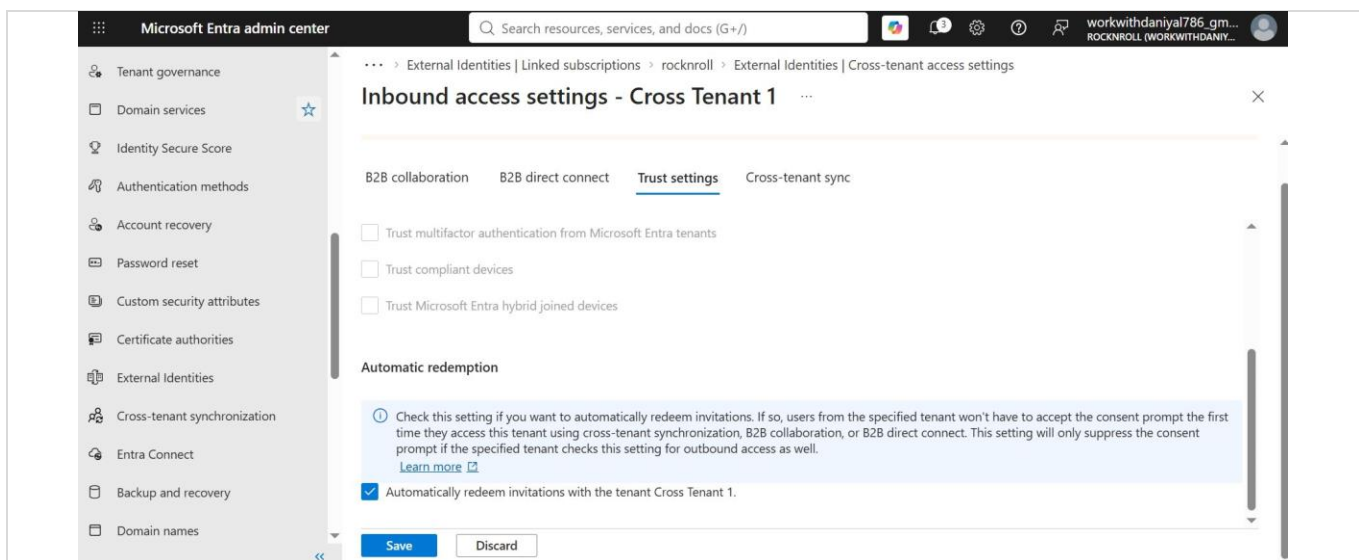


Figure 16 – Inbound Trust settings for Cross Tenant 1: automatic redemption enabled.

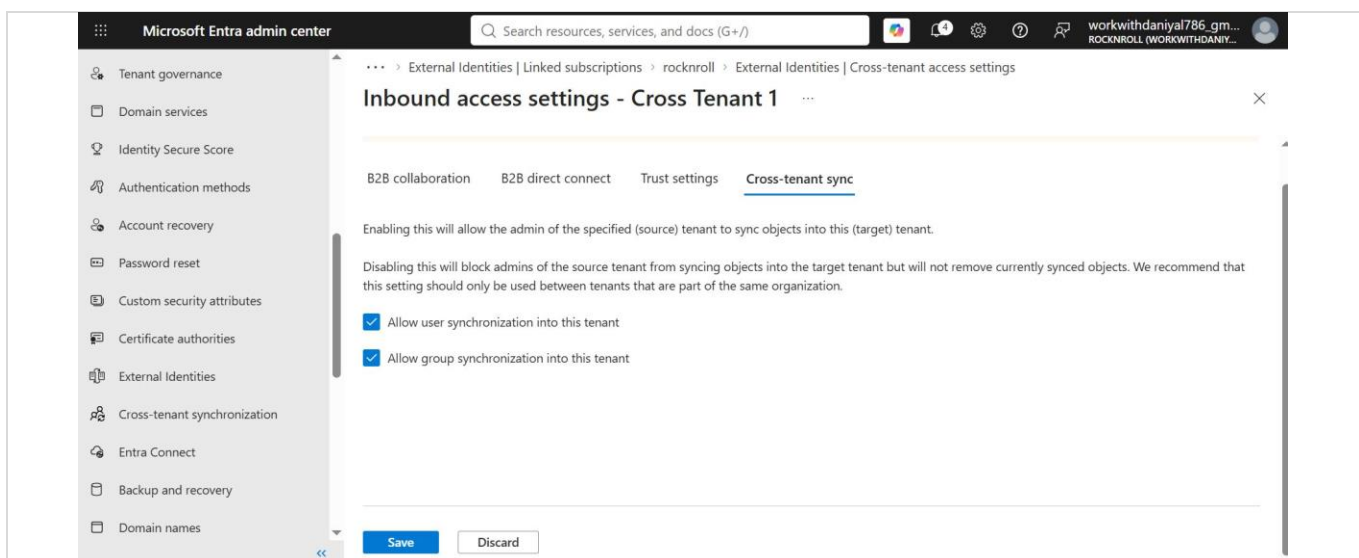


Figure 17 – Inbound Cross-tenant sync for Cross Tenant 1: user and group synchronization enabled.

3.7 Outbound Access Settings – Tenant "rocknroll" → Cross Tenant 1

On the Outbound side, the B2B direct connect setting was switched from Default settings to Customize settings, and External applications access was set to Allow access. Because the rocknroll tenant runs on a Microsoft Entra ID Free license, the portal displayed an informational banner indicating that Microsoft Entra ID Premium is required to configure Trust settings and to target select users, groups, and applications — a useful licensing constraint to document for real-world engagements.

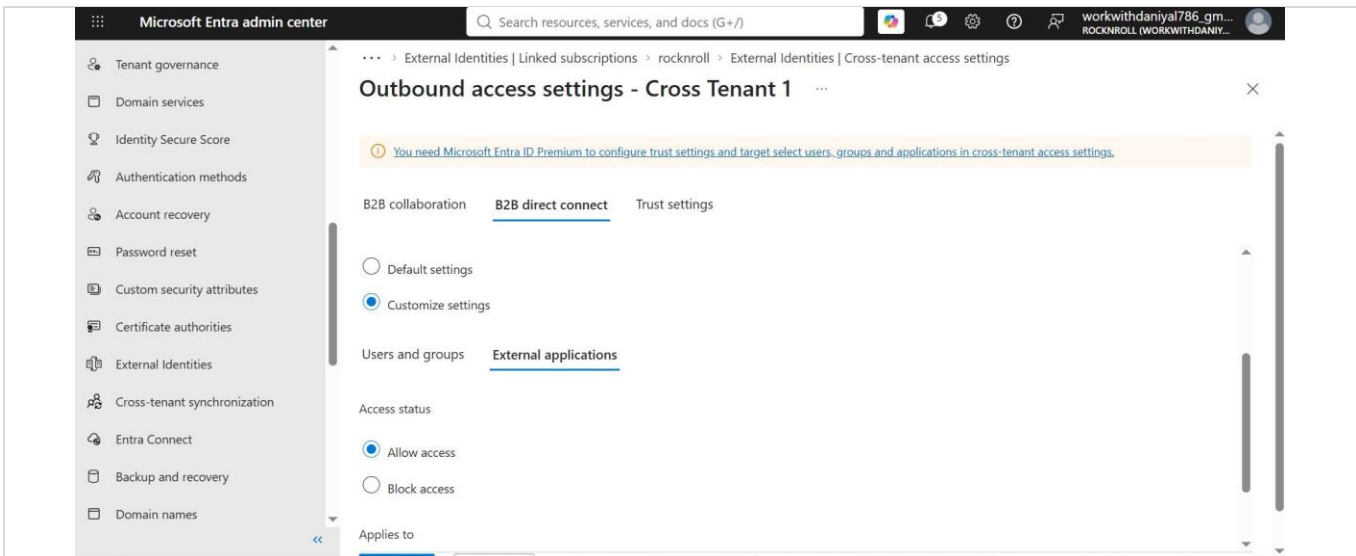


Figure 18 – Outbound B2B direct connect for Cross Tenant 1 set to Customize settings / Allow access; Premium-feature banner visible due to the Free license.

3.8 Final Verification

After completing the inbound and outbound configuration on both tenants, the External Identities overview on the rocknroll tenant was reviewed again. Cross Tenant 1 now shows Configured for both Inbound access and Outbound access, confirming the bidirectional trust relationship was applied successfully.

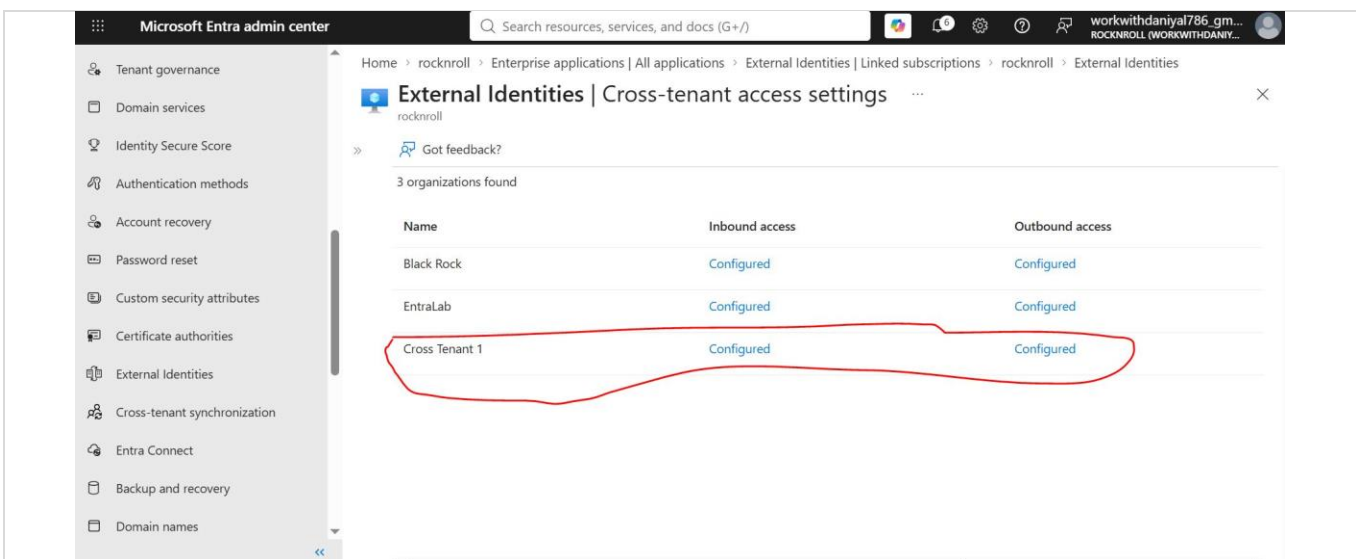


Figure 19 – Final state: Cross Tenant 1 shows Configured for both Inbound and Outbound access.

3.9 Reviewing Cross-Tenant Synchronization Readiness

With the cross-tenant access trust in place, the Cross-tenant synchronization > Configurations blade on "Not any" was reviewed. No synchronization job existed yet ("To get started, create a new configuration"), confirming that this lab established the prerequisite trust relationship — the enabled Cross-tenant sync toggles from section 3.3 — that must exist before a synchronization job can provision users from the source tenant into this tenant.

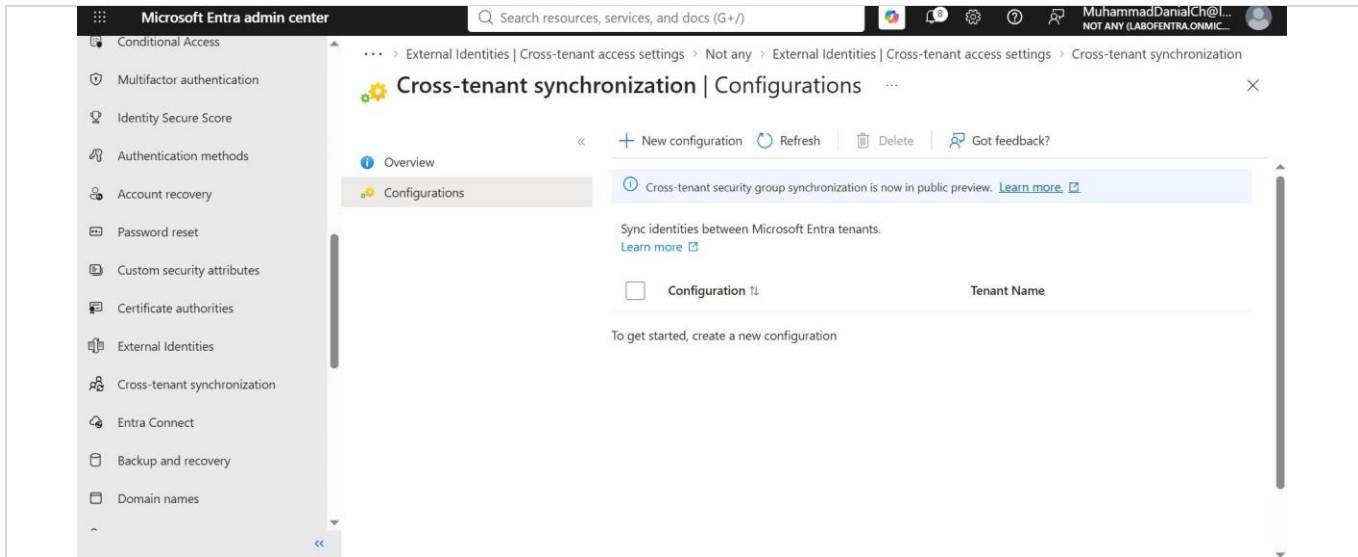


Figure 20 – Cross-tenant synchronization Configurations blade, ready for a new sync job to be created.

3.10 Creating the Cross-Tenant Synchronization Configuration

On the "Not any" tenant, a new configuration was created from Cross-tenant synchronization > Configurations > New configuration, named "Entra cross Lab". The optional "Setup cross-tenant synchronization across Microsoft clouds" checkbox was left disabled, since both tenants reside in the same Microsoft cloud (Azure public cloud). Creating the configuration with default parameters generates a dedicated service principal that will govern the provisioning job.

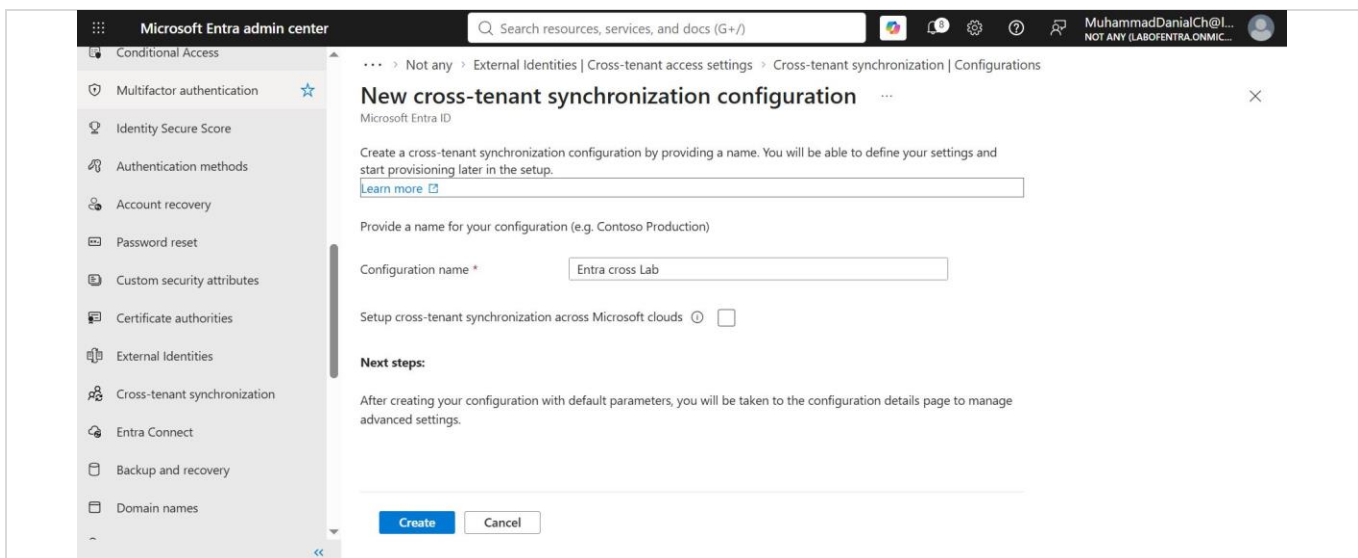


Figure 21 – New cross-tenant synchronization configuration named "Entra cross Lab".

3.11 Reviewing the Provisioning Job Before Activation

Immediately after creation, the configuration's Overview blade displayed the auto-generated Service principal object ID and Job ID (Azure2Azure.8cfcd85516314e4684e544c39bf7276d.0...), confirming the job is scoped specifically to the "Not any" tenant (source tenant ID visible in the Job ID string). At this point Current cycle status showed Initial sync paused with 0% completed and 0 changes processed, since provisioning had not yet been started.

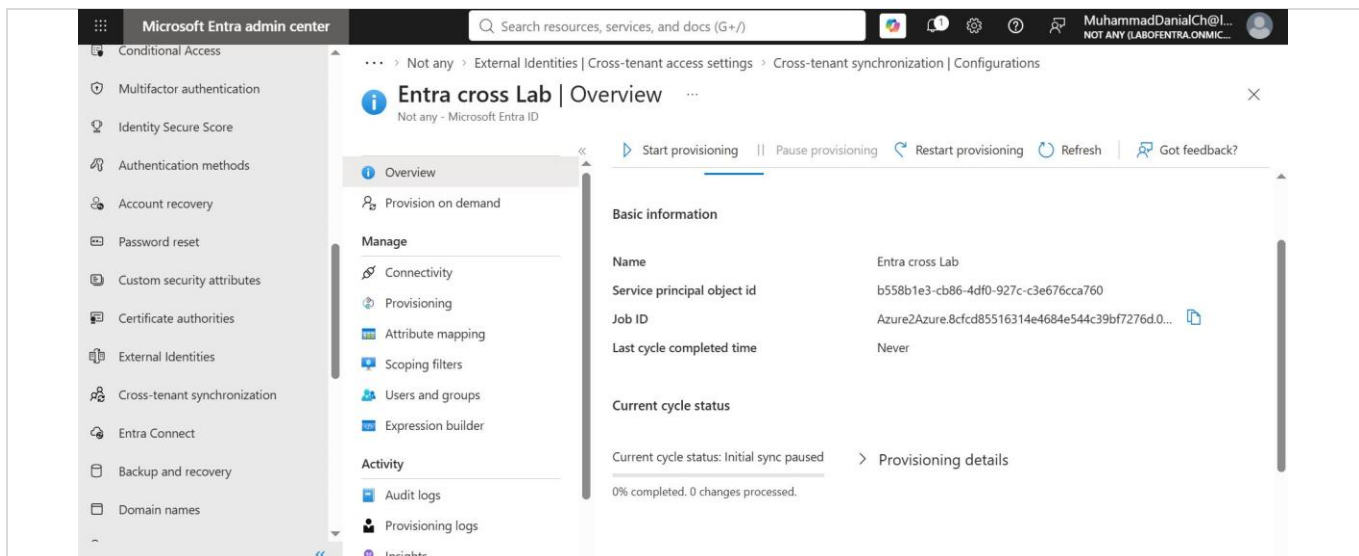


Figure 22 – Configuration overview immediately after creation: Job ID generated, Current cycle status = Initial sync paused, 0% completed.

Expanding Provisioning details at this stage confirmed the job's operating parameters before the first run: a fixed Provisioning interval of 40 minutes, and Last cycle start time / Last cycle completed time / Last time steady state achieved all showing Not started or Never, which is the expected baseline state prior to the first provisioning cycle.

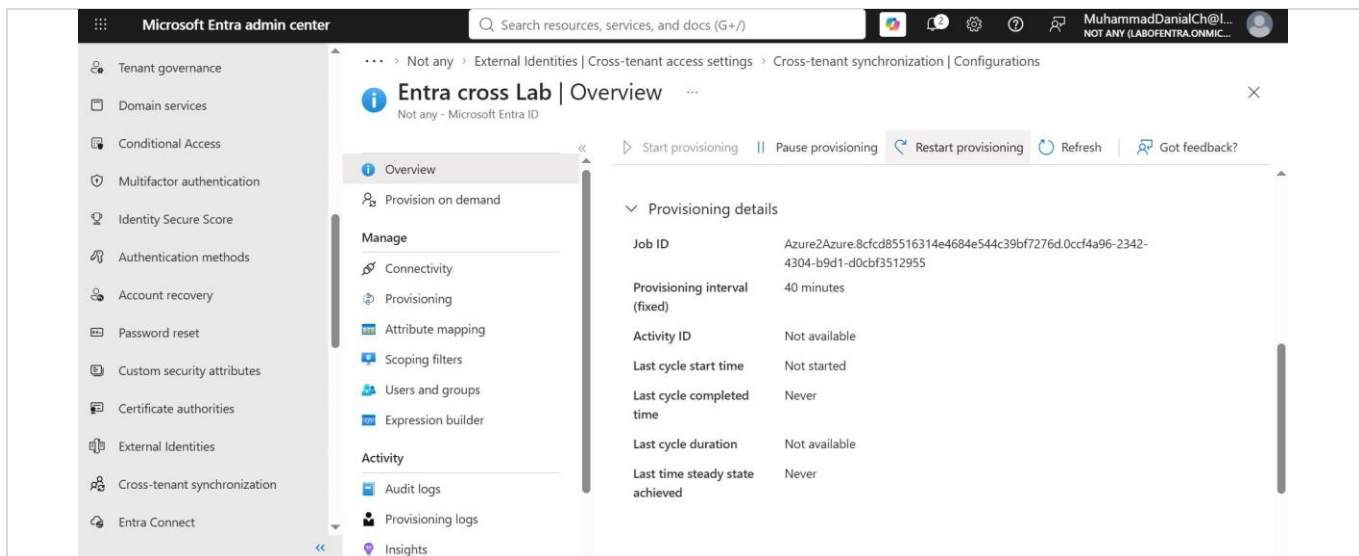


Figure 23 – Provisioning details prior to first run: 40-minute fixed interval; no cycle has started yet.

3.12 Starting Provisioning and Validating the First Cycle

Provisioning was started from the Overview toolbar (Start provisioning). The job ran its initial cycle and the Overview blade updated to show 100% completed with 1 object provisioned into the USER category (count of 5, reflecting the object scoped by the job at that point in the lab). The Provisioning details panel now showed a completed Activity ID, a Last cycle start time and Last cycle completed time of 8/26/2026 2:07 PM (GMT+2), and a Last cycle duration of 8.595 seconds — confirming the synchronization engine successfully connected to the source tenant, evaluated scope, and completed a provisioning cycle end-to-end.

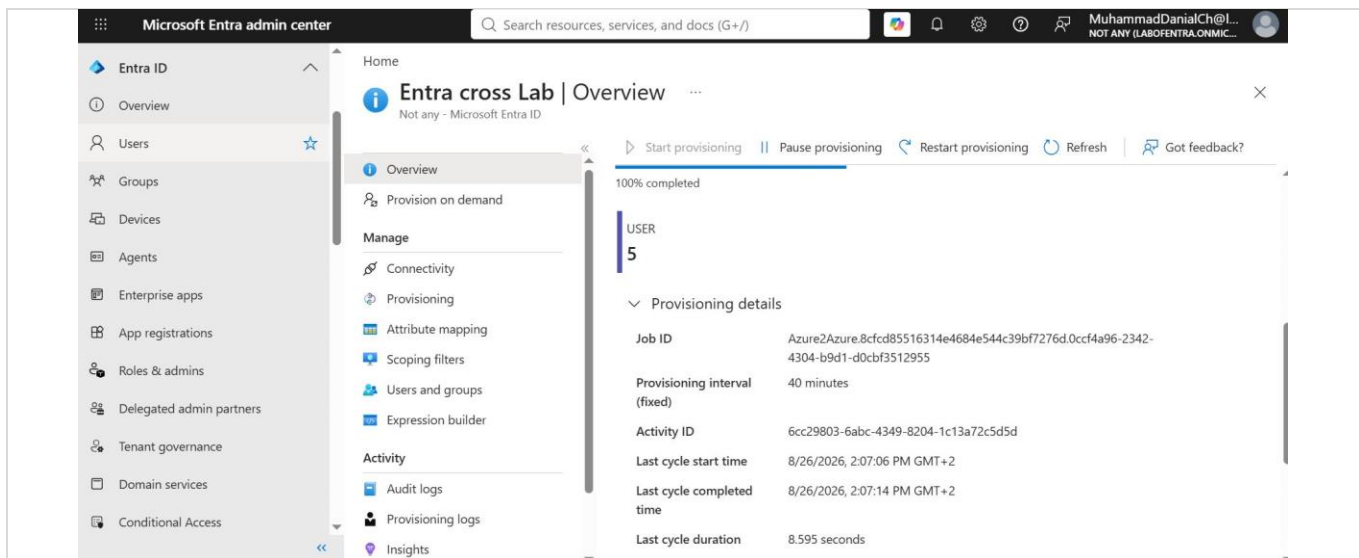


Figure 24 – First provisioning cycle completed: 100% completed, Last cycle duration 8.595 seconds.

3.13 Verifying the Synchronized Object via Provisioning Logs

To validate the outcome at the object level, the Provisioning logs blade was reviewed and filtered by the job's Application ID (b558b1e3-cb86-4df0-927c-c3e676cca760). The logs confirmed two successful actions for the user "James": a Create action provisioning the user from the source tenant into the target tenant, followed by an Update action, each recording the matching Source ID (from the source tenant) and Target ID (b3fccc26-3cf8-4770-8c8e-42bf1f7f8da2, the object created in the target tenant). This provided object-level evidence that the end-to-end cross-tenant provisioning pipeline — trust configuration, sync permissions, and the provisioning job — worked as designed.

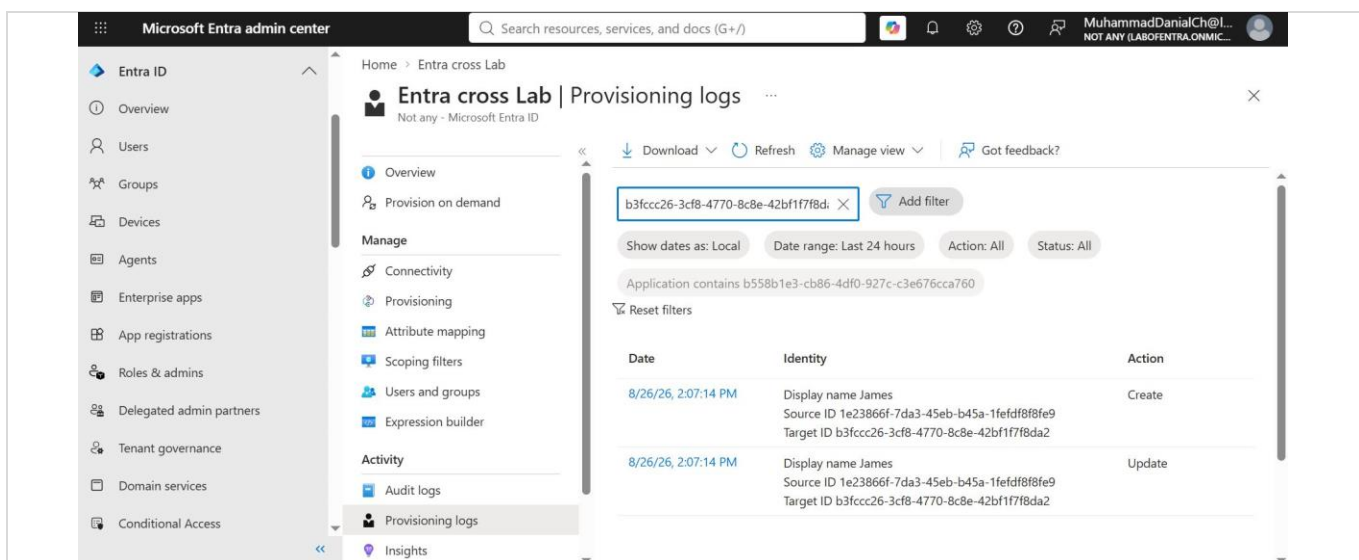


Figure 25 – Provisioning logs showing successful Create and Update actions for user "James", with source and target object IDs.

4. Key Observations

- Cross-tenant access settings are directional and per-relationship: Inbound and Outbound access must each be explicitly configured, and configuring one tenant's inbound settings does not automatically configure the partner tenant's outbound settings.
- Automatic redemption of invitations only suppresses the consent prompt when both tenants enable it for their respective direction (inbound on one side, outbound on the other) — a detail called out directly in the Trust settings panel.

- Cross-tenant synchronization requires the target tenant to explicitly allow user and group synchronization under Inbound access settings before any synchronization job can be created.
- Licensing matters: the Microsoft Entra ID Free tier on the rocknroll tenant blocked configuration of Trust settings and scoped (select users/groups/applications) targeting on the Outbound side, which requires Microsoft Entra ID P2/Premium — an important cost/licensing consideration when planning cross-tenant IAM architecture for clients.
- Verification should always be performed from the External Identities overview grid, which summarizes Inbound/Outbound status as Configured or Inherited from default, providing a fast audit view of trust posture across all connected organizations.
- A newly created cross-tenant synchronization job remains in an "Initial sync paused" state until provisioning is explicitly started; the fixed 40-minute provisioning interval applies to subsequent incremental cycles, not the first manually triggered run.
- Provisioning logs, filtered by Application ID / Service principal object ID, provide object-level (Source ID → Target ID) proof of a successful synchronization cycle and are the correct place to troubleshoot or evidence individual user provisioning outcomes.

5. Conclusion

This lab provided hands-on, end-to-end experience configuring cross-tenant identity provisioning in Microsoft Entra ID — from establishing a bidirectional Cross-Tenant Access trust relationship (B2B collaboration, B2B direct connect, trust settings, and sync permissions) through to creating a Cross-Tenant Synchronization configuration, starting provisioning, and validating a successful object sync via provisioning logs. The exercise reinforced practical understanding of how Microsoft Entra ID governs inter-tenant trust at a granular level, how licensing tier (Free vs. P2) affects configurability of advanced trust and targeting controls, and how to verify a provisioning pipeline both at the job level (cycle status, duration) and the object level (create/update actions with source and target IDs). These skills are directly applicable to real-world IAM engagements involving multi-tenant enterprises, mergers and acquisitions, and secure B2B partner collaboration.

6. Skills Demonstrated

- Microsoft Entra ID administration (Entra admin center)
- Cross-tenant access settings: B2B collaboration & B2B direct connect
- Trust settings and automatic invitation redemption
- Cross-tenant synchronization configuration, provisioning job management, and monitoring
- Provisioning log analysis and object-level sync validation (Create/Update actions, Source/Target IDs)
- Multi-tenant IAM architecture and licensing-tier awareness (Free vs. P2)
- Configuration verification and evidence-based documentation